Note 16. INCOME TAXES

The Company did not have a provision for income taxes (current or deferred tax expense) for tax years ended December 31, 2019 and 2018. The following is a reconciliation of the expected tax expense (benefit) at the U.S. statutory rate to the actual tax expense (benefit) reflected in the accompanying statement of operations:

	Year Ended December 31,	
	2019	**2018**
U.S. federal statutory rate	$ (587,869)	$ (2,764,285)
State and local taxes, net of federal benefit	(100,094)	(591,439)
Settlement of warrants	-	2,292,589
Change in valuation allowance	249,935	1,060,083
True-up & deferred adjustment	258,165	5,155
Stock based compensation	17,901	88,903
Other permanent items	6,664	7,882
Change in tax rate	97,731	(73,068)
Other	57,567	(25,820)
	$ -	$ -

As of December 31, 2019 and 2018, the Company's deferred tax assets and liabilities consisted of the effects of temporary differences attributable to the following:

	Year Ended December 31,	
	2019	2018
Deferred tax assets:		
NOL & AMT credit carryforward	**$ 12,654,534**	$ 12,018,190
Inventory reserves and allowances	**30,965**	132,718
Accrued Expenses and Deferred Income	**48,050**	-
Charitable contribution	**5,284**	5,049
Stock based compensation	**1,967,795**	1,996,647
Net book value of fixed assets	**3,978**	-
Net book value of intangible assets	**666,538**	592,560
ASC 842 - Lease Accounting	**29,132**	-
Total deferred tax assets	**15,406,276**	14,745,164
Deferred tax liabilities:		
Extinguishment of Warrants	**(422,655)**	-
Net book value of fixed assets	**-**	(6,429)
Total deferred tax liabilities	**(422,655)**	(6,429)
Net deferred tax assets	**14,983,621**	14,738,735
Valuation allowance	**(14,983,621)**	(14,738,735)
Net deferred tax assets	**$ -**	$ -

In assessing the realization of deferred tax assets, management considers whether it is more likely than not that some portion or all of the deferred tax assets will be realized. The ultimate realization of deferred tax assets is dependent upon the generation of future taxable income during the periods in which those temporary differences become deductible. Management considers the scheduled reversal of deferred tax liabilities, projected future taxable income and tax planning strategies in making this assessment. After consideration of all of the positive and negative evidence available, management has determined that a valuation allowance of $15.0 million and $14.7 million are required at December 31, 2019 and 2018, respectively, to reduce the deferred tax assets to

amounts that are more likely than not to be realized. Should the factors underlying management's analysis change, future valuation adjustments to the Company's net deferred tax assets may be necessary.

At December 31, 2019 the Company had U.S. federal and state net operating loss carryforwards ("NOLS") of $53.4 million and $39.9 million, respectively. Federal NOLs of $46.3 million expire beginning in 2030 through 2037 and $7.1 million do not expire. State NOLs of $33.0 million expire beginning in 2030 through 2037 and $6.9 million do not expire. Utilization of our NOLS may be subject to an annual limitation under section 382 and similar state provisions of the Internal Revenue Code due to changes of ownership that may have occurred or that could occur in the future, as defined under the regulations.

As required by the provisions of ASC 740, the Company recognizes the financial statement benefit of a tax position only after determining that the relevant tax authority would more likely than not sustain the position following an audit. For tax positions meeting the more likely than not threshold, the amount recognized in the consolidated financial statements is the largest benefit that has a greater than 50 percent likelihood of being realized upon ultimate settlement with the relevant tax authority. Differences between tax positions taken or expected to be taken in a tax return and the net benefit recognized and measured pursuant to the interpretation are referred to as "unrecognized benefits." A liability is recognized (or amount of NOL or amount of tax refundable is reduced) for an unrecognized tax benefit because it represents an enterprise's potential future obligation to the taxing authority for a tax position that was not recognized as a result of applying the provisions of ASC 740.

If applicable, interest costs and penalties related to unrecognized tax benefits are required to be calculated and would be classified as interest and penalties in general and administrative expense in the statement of operations. As of December 31, 2019, and 2018, no liability for unrecognized tax benefit was required to be reported. No interest or penalties were recorded during the years ended December 31, 2019 and 2018. The Company does not expect any significant changes in its unrecognized tax benefits in the next year. The Company files U.S. federal and Alabama, Florida, Georgia, and Tennessee state income tax returns. As of December 31, 2019, the Company's U.S. federal and state tax returns remain subject to examination by tax authorities beginning with the tax year ended December 31, 2016. However, due to NOLs being generated and carried forward from tax years ended December 31, 2010, 2012, & 2014, these tax years may also be subject to examination.

Subsequent to the issuance of the December 31, 2018 financial statements, the Company determined that the gross deferred tax asset and the related valuation allowance were understated by $7.6 million due to an understatement of net operating loss carryforwards. The effect of correcting these errors is an increase in the net operating loss carryforwards and the deferred tax asset valuation allowance by $7.1 million. The restatement had no impact on the financial position or results of operations of the Company.